interest rates'. Even with this multiple mandate, the Federal Reserve has a better track record on managing inflation expectations, and thus inflation, than economies with an explicit inflation target.

For sure, openly committing to an inflation target helps a central bank guide expectations, and thereby maintain stability in the economy. But that very stability can be impaired by a single-minded pursuit of the inflation target to the exclusion of other macroeconomic concerns. The challenge in inflation-targeting is maintaining credibility even while flexibly deviating from the target when the circumstances so warrant.

The second condition for the long-term success of inflation-targeting is that the government will have to steadfastly respect the autonomy of the Reserve Bank notwithstanding its compulsions to accelerate growth in the short-term. Growth and inflation are not independent variables, which is to say that you cannot simultaneously set targets for growth and inflation. If one is fixed, the other is automatically determined. In practical terms, this means that if the Reserve Bank is enjoined to deliver an inflation rate, the government will have to acquiesce in the growth rate that results. If the government imposes a growth target on top of the inflation target, inflation-targeting will lose credibility. The resultant macroeconomic implications will be costly.

In this context, the following provision in the draft Indian Financial Code (IFC) is perplexing: 'The objective monetary policy is to achieve price stability while striking a balance with *the objective of the central government to accelerate growth.*' Is the government implying that accelerating growth is its exclusive objective and the Reserve Bank does not share that objective? Will the government therefore set a growth target and require the Reserve Bank to balance its inflation target with the government's growth target? Perhaps I am overreacting, but it is important that the wording in the IFC is unambiguous and the intent behind that wording is honoured. The point to recognize is that monetary policy can only provide a conducive environment for growth to reach its potential; it cannot raise the potential. That remains the government's responsibility and the task of its supply-side responses.